The international business cycle: steady growth, stalled disinflation and a war in the background

The IMF expects the world economy to grow 3.1% in 2026 and 3.4% in 2027, but inflation is at 4.7% and energy importers face the hardest outlook. The RBA says overseas growth has been stronger than expected because of AI investment, while the conflict in the Middle East pushes up oil prices.

3.1%
World growth forecast for 2026 (IMF, 13 October 2026)

3.4%
World growth forecast for 2027

4.7% → 4.1%
Global headline inflation forecast, 2026 to 2027

3.0%
July 2026 forecast of world growth for 2026

4.60%
RBA cash rate target after the 29 September 2026 increase

US$113-114
Brent crude oil, 23 October 2026 (a five-month high)

1. What the international business cycle is

National business cycles are linked through trade, investment and finance, so booms and downturns spread between countries. The cycle describes the combined movement of world output, inflation and employment around its trend.

2. Where the world economy is in October 2026

- **Growth:** the IMF's October 2026 World Economic Outlook projects world growth of 3.1% in 2026 and 3.4% in 2027. In July the 2026 forecast was 3.0%, with growth "steady but uneven across countries amid headwinds from the war and tailwinds from the technology upcycle".
- **Inflation:** global headline inflation is projected to rise to 4.7% in 2026 before easing to 4.1% in 2027. In July the IMF said "global disinflation has stalled".
- **Risks:** downside risks are escalation of the conflict, a reassessment of AI expectations, renewed trade tensions and fiscal vulnerabilities. The IMF says "fiscal space needs to be urgently rebuilt".
- **Winners and losers:** "energy-importing economies outside the technology value chain" face the most difficult outlook.

3. How it reaches Australia

Conflict lifts oil prices → Fuel costs and inflation rise in Australia → RBA lifts cash rate to 4.60% → Domestic spending and housing weaken

- The RBA's 29 September statement says the Middle East conflict has spread, oil supply disruptions are pushing up energy prices and overseas growth has been stronger than expected, partly because of AI-related investment.
- Australia is both an exporter of commodities and an importer of oil. On 23 October iron ore was US$90.73 a tonne and Brent crude US$113 to 114 (ABC News).
- Domestic conditions have eased: housing prices have fallen in most capital cities and consumer spending is easing gradually.

Exam angle: name the channel by which a world event reaches Australia (trade, commodity prices, interest rates, investment) and use a figure. For a "to what extent" question, point out that Australia is affected by the world cycle but domestic policy and conditions also matter.

Syllabus link

HSC 2009 Topic 1 (1D Globalisation and economic development): 1D.9 the international business cycle. Also supports 3D external stability and Year 12 (2025) Y3e.1 and Y3e.3.

Try this

1. Define the international business cycle. (2 marks)
2. Outline TWO ways a slowdown in world growth affects the Australian economy. (4 marks)
3. Assess the impact of changes in the global economy on Australia. (6 marks)

Sources: IMF, World Economic Outlook, October 2026: Resilience Under Strain, Urgent Choices — https://www.imf.org/en/publications/weo/issues/2026/10/13/world-economic-outlook-october-2026 · IMF, World Economic Outlook Update, July 2026 — https://www.imf.org/en/publications/weo/issues/2026/07/08/world-economic-outlook-update-july-2026 · RBA, Media Release 2026-27, 29 September 2026 — https://www.rba.gov.au/media-releases/2026/mr-26-27.html · ABC News markets blog, 23 October 2026 — https://www.abc.net.au/news/2026-10-23/asx-markets-business-news-live-updates-oct-23/107291840